

25STCV17764 25STCV17764

County: los-angeles

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Case Number: 25STCV17764 Hearing Date: July 27, 2026 Dept: 309

Superior Court of California

County of Los Angeles

DEPARTMENT 17

TENTATIVE

RULING

YAMATO CAPITAL FUND, LLC

vs.

ADOLFO CALLERES, et al.

Case

No.: 25STCV17764

Hearing Date: July 27, 2026

Defendant Elevation Wellness Center's demurrer to the third cause of action is SUSTAINED, WITHOUT LEAVE TO AMEND.

On 6/18/2025, Plaintiff Yamato Capital Fund, LLC (Plaintiff) filed suit against Adolfo Calleres, Alejandro Calleres, and Elevation Wellness Center. On 3/10/2026, Plaintiff filed a second amended complaint (SAC), alleging: (1) breach of contract; (2) breach of implied warranty of good faith and fair dealing; (3) promissory fraud; and (4) declaratory relief.

On 4/13/2026, Defendant Elevation

Wellness Center (Defendant or EWC) demurred to the third cause of action.

Discussion

EWC argues that Plaintiff cannot state a claim for promissory fraud, “as the fraud claim merely attempts to convert express contract terms and alleged breaches of a written Lease agreement into a separate fraud claim and further fails to allege each element of a fraud claim against EWC.” (Motion, 3: 6-9.)

After review, the Court agrees.

The Court previously sustained EWC’s demurrer to the third cause of action, finding that Plaintiff’s promissory fraud cause of action attempts to convert contractual terms and the alleged non-performance into fraud.

Now, the SAC’s third cause of action alleges that Defendants Adolfo and Alejandro “orally represented to Plaintiff that they were officers and owners of EWC, and in that capacity, further orally represented on their own behalf and on behalf of EWC” that: (1) they and their company were experienced in the cannabis business; (2) they and their company had the financial means to enter into the Lease; and (3) they and their company had knowledge of all laws, codes, and regulations regarding the cannabis business. (SAC ¶ 24.) Plaintiff alleges these representations were false and that it would not have entered into the Lease had it known of the alleged falsity. (SAC ¶¶ 25–26.) Plaintiff further alleges that it “justifiably relied on the promises and/or representations of Defendants” based on the above representations. (SAC ¶ 27.)

“A person may not ordinarily recover in tort for the breach of duties that merely restate contractual obligations.” (Stop Loss Ins. Brokers, Inc. v. Brown & Toland Med. Grp. (2006) 143 Cal. App. 4th 1036, 1041 citing Aas v. Superior Court (2000) 24 Cal. 4th 627, 643.)

Taken as true for purposes of a demurrer, each of these representations is fundamentally based on the same conduct underlying the breach of contract claim. The SAC’s three categories of

alleged misrepresentations—concerning experience in the cannabis business (SAC ¶ 24(1)), financial means to enter into the Lease (SAC ¶ 24(2)), and knowledge of applicable laws and regulations (SAC ¶ 24(3))—are all covered by the express contractual provisions and requirements with respect to maintaining a valid lease and for payment under the Lease.

First, the alleged misrepresentation concerning experience in the cannabis business is covered by Lease provisions requiring Lessee to use the Premises only for the Agreed Use and to comply with all Applicable Requirements related to that use. (SAC, Ex. 1, ¶¶ 6.1, 6.3.)

Second, the alleged misrepresentation concerning financial means to enter into the Lease is covered by the Lease's payment obligations. (SAC, Ex. 1, ¶¶ 4, 5.)

Third, the alleged misrepresentation concerning knowledge of all laws, codes, and regulations is covered by multiple Lease provisions. (SAC, Ex. 1, ¶¶ 2.3, 2.4, 6.3, 7.1(a).)

Given that this was Plaintiff's second opportunity to allege facts which could show fraud separate and apart from breach of contract, the Court finds additional leave to amend would be futile.

Based on the foregoing, EWC's demurrer to the third cause of action is sustained, without leave to amend.

It is so
ordered.

Dated:
July , 2026

Hon. Jon R. Takasugi

Judge of the
Superior Court

Parties who intend to submit on this tentative must
send an email to the court at
by 4 p.m. the day prior as directed by the instructions provided on the court

website at www.lacourt.org. If a party submits on the tentative, the party's email must include the case number and must identify the party submitting on the tentative.

If all parties to a motion submit, the court will adopt this tentative as the final order. If the department does not receive an email indicating the parties are submitting on the tentative and there are no appearances at the hearing, the motion may be placed off calendar. For more information, please contact the court clerk at (213) 633-0517.